Corporate Lending Automation System

Intelligent Credit Assessment Platform

CREDIT ASSESSMENT REPORT

Application Number	CLA-20260812-00002
Company	Highland Agro Resources Bhd
Registration No.	200903099887
Loan Amount Requested	■1.20Cr
Loan Purpose	Expansion
Tenure	60 months
Pipeline Status	Ml Predicted
Preliminary Decision	PENDING
Report Generated	2026-08-12 18:06 UTC

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1. Application Overview

Application No.	CLA-20260812-00002
Loan Amount	■1.20Cr
Loan Purpose	Expansion
Tenure	60 months
Interest Rate Requested	—
Collateral Description	Not provided
Collateral Value	N/A
Current Status	MI Predicted
Final Decision	PENDING
Assigned Officer	Not assigned
Decision Reason	—

2. Company Profile

Company Name	Highland Agro Resources Bhd
Registration Number	200903099887
Tax ID	—
GST Number	—
Company Type	Public Limited
Industry	Agriculture
Incorporation Date	2009-03-09
Country	Malaysia
Registered Address	PT 445, Jalan Ladang Highland
City / State	Ipoh, Perak
Contact Email	corp@highlandagro.com.my
Contact Phone	+6052551900
Annual Turnover	■8.89Cr
Employees	1200

3. Submitted Documents

#	Type	Filename	Financial Year	Size (KB)	Status
1	Balance Sheet	highland_fs_2025.pdf	2025	2.8	Extracted

4. Financial Data — OCR Extraction

Financial Metric	Extracted Value	Financial Metric	Extracted Value
Cash & Cash Equivalents	■52.29L	**Cost of Revenue**	■6.85Cr
EBIT	■97.79L	**Short-term Debt**	—
EBITDA	—	**Accounts Payable**	■77.08L
Shareholders' Equity	■7.30Cr	**Interest Expense**	■10.88L
Revenue / Turnover	■8.89Cr	**Operating Profit**	■97.79L
Inventory	■71.30L	**Total Liabilities**	■2.92Cr
Net Worth	—	**Accounts Receivable**	■99.82L
Net Profit / PAT	■66.05L	**Current Liabilities**	■1.61Cr
Tax Expense	■20.86L	**Financing Cash Flow**	■15.23L
Gross Profit	■2.04Cr	**Investing Cash Flow**	■53.34L
Total Assets	■10.22Cr	**Operating Cash Flow**	■97.17L
Current Assets	■2.38Cr	**Depreciation & Amortisation**	■31.11L
Long-term Debt	—		

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5. Financial Ratios Analysis

Overall Financial Health: GOOD

Ratio	Value	Unit	Risk Level	Benchmark	Interpretation
Debt Ratio	0.2856	x	Very Low	0.3 – 0.6	Excellent: Debt Ratio of 0.29x shows that only 28.6% of assets are financed by debt.
Quick Ratio	1.036	x	Low	1 – 2	Healthy: Quick Ratio of 1.04x. Liquid assets adequately cover current liabilities witho...
Current Ratio	1.48	x	Medium	1.5 – 3	Acceptable: Current Ratio of 1.48x meets minimum requirements but leaves limited buffer...
Ebitda Margin	14.50%	%	Medium	12 – 30	Moderate: EBITDA Margin of 14.50%. Acceptable for most industries.
Asset Turnover	0.8696	x	Low	0.5 – 1.5	Good: Asset Turnover of 0.87x. Efficient use of asset base to generate revenue.
Cash Flow Ratio	0.6051	x	Medium	0.5 – 1	Moderate: Cash Flow Ratio of 0.61x provides some coverage.
Working Capital	7,708,355	■	Low	—	Positive: Working Capital of ■7,708,355 provides a buffer for short-term operations.
Operating Margin	11.00%	%	Low	10 – 25	Good: Operating Margin of 11.00%. Healthy operating efficiency.
Return On Assets	6.46%	%	Low	5 – 15	Good: ROA of 6.46%. Assets employed efficiently.
Return On Equity	9.04%	%	Medium	10 – 25	Moderate: ROE of 9.04%. Marginal shareholder returns.
Debt Equity Ratio	0.3998	x	Very Low	0.5 – 2	Excellent: Debt-Equity Ratio of 0.40x reflects conservative financing with equity domin...
Net Profit Margin	7.43%	%	Medium	5 – 20	Moderate: Net Profit Margin of 7.43%. Adequate for lending consideration with close mon...
Financial Leverage	1.3998	x	Very Low	1.5 – 4	Excellent: Financial Leverage of 1.40x. Conservative use of debt financing.
Inventory Turnover	9.6004	x	Low	4 – 12	Good: Inventory Turnover of 9.60x. Efficient inventory management.
Current Asset Ratio	0.2325	x	Medium	0.3 – 0.6	Moderate: Current Asset Ratio of 0.23x is typical for asset-heavy industries.
Gross Profit Margin	23.00%	%	Medium	20 – 60	Moderate: Gross Profit Margin of 23.00%. Acceptable for trade/distribution businesses.
Receivable Turnover	8.9057	x	Low	6 – 15	Good: Receivable Turnover of 8.91x. Efficient debtor collection.
Interest Coverage Ratio	8.9869	x	Very Low	2.5 – 5	Excellent: ICR of 8.99x. Strong earnings coverage for interest payments.
Operating Cash Flow Ratio	10.93%	%	Low	10 – 25	Good: Operating Cash Flow Ratio of 10.93%. Healthy cash conversion.
Debt Service Coverage Ratio	4.9648	x	Very Low	1.25 – 2	Excellent: DSCR of 4.96x. Strong debt servicing capacity.

6. Rule Engine Evaluation

Verdict: PASS	Rules Evaluated: **11**	Rules Triggered: **0**	ML Pipeline: **Will Run**

Priority	Rule Name	Category	Metric Value	Threshold	Mandatory	Status	Action
10	**Minimum Current Ratio**	Liquidity	1.48	1	Yes	**PASS**	Reject
20	**Quick Ratio Floor**	Liquidity	1.036	0.5	Yes	**PASS**	Reject
30	**Maximum Debt-Equity Ratio**	Leverage	0.3998	2.5	Yes	**PASS**	Reject
40	**Maximum Debt Ratio**	Leverage	0.2856	0.8	No	**PASS**	Manual Review
50	**Positive Return on Assets**	Profitability	6.46	—	Yes	**PASS**	Reject
60	**Minimum Return on Equity**	Profitability	9.04	5	No	**PASS**	Manual Review
70	**Positive Net Profit Margin**	Profitability	7.43	—	Yes	**PASS**	Reject
80	**Minimum Interest Coverage Ratio**	Coverage	8.9869	1.5	Yes	**PASS**	Reject
90	**Minimum Debt Service Coverage Ratio**	Coverage	4.9648	1.2	Yes	**PASS**	Reject
100	**Positive Operating Cash Flow**	Cash_Flow	10.93	—	Yes	**PASS**	Reject
110	**Positive Net Worth**	Solvency	1.3998	10	Yes	**PASS**	Reject

7. ML Prediction & Risk Assessment

Model Used	Random Forest
Probability of Default	14.11%
Composite Risk Score	9.9 / 100
Risk Level	VERY LOW
Prediction Outcome	Low Risk

Risk Score Bar: [■■■■■■■■■■■■■■■■■■■■■■] 9.9%

Top Predictive Factors (SHAP Analysis):

Feature	SHAP Value	Direction
Borrowing dependency	-0.0862	↓ **Reduces Risk**
Debt ratio %	+0.0413	↑ **Increases Risk**
Degree of Financial Leverage (DFL)	+0.0398	↑ **Increases Risk**
Persistent EPS in the Last Four Seasons	-0.0384	↓ **Reduces Risk**
Non-industry income and expenditure/revenue	-0.0298	↓ **Reduces Risk**

Retained Earnings to Total Assets	-0.0297	↓ Reduces Risk
ROA(C) before interest and depreciation be...	-0.0272	↓ Reduces Risk
Interest Expense Ratio	-0.0243	↓ Reduces Risk
Net Income to Stockholder's Equity	-0.0191	↓ Reduces Risk
Current Liabilities/Equity	-0.0190	↓ Reduces Risk
Working Capital to Total Assets	-0.0173	↓ Reduces Risk
Equity to Liability	-0.0162	↓ Reduces Risk

Model Explanation:

The Random Forest model assigns a low probability of default (14.1%), suggesting acceptable credit risk. Key factors increasing default risk: 'Debt ratio %', 'Degree of Financial Leverage (DFL)'. Mitigating factors reducing default risk: 'Borrowing dependency', 'Persistent EPS in the Last Four Seasons', 'Non-industry income and expenditure/revenue'.

Model Comparison (Training Evaluation):

Model	Accuracy	Precision	Recall	F1	ROC-AUC	CV ROC-AUC
Xgboost	0.952	0.362	0.659	0.468	0.937	0.997 ± 0.001
Random Forest	0.944	0.323	0.682	0.438	0.949	0.996 ± 0.001
Logistic Regression	0.886	0.200	0.841	0.323	0.934	0.951 ± 0.004

8. Credit Recommendation

RECOMMENDATION: APPROVE — The composite risk score of 9.9/100 is in the 'Very Low' range. The Random Forest model estimates a 14.1% probability of default. This application represents a low-risk lending opportunity.

9. Officer Notes

No officer notes recorded at the time of report generation.

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